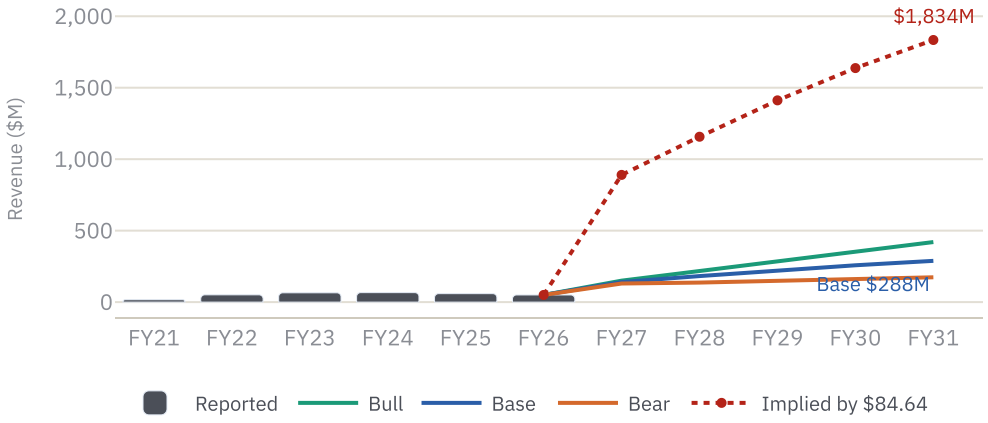
Aehr Test Systems: a real AI win, priced as if it were the only one that matters

THESIS

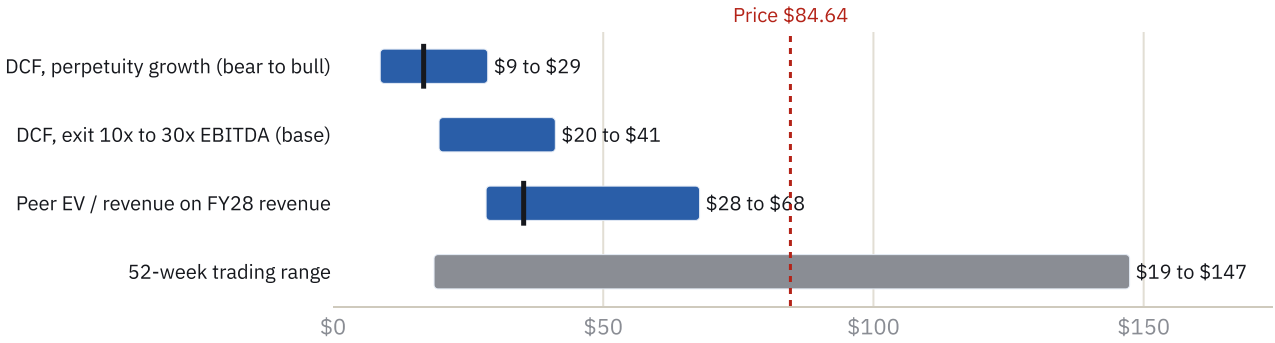
- Aehr is doing everything right. Guidance calls for fiscal 2027 revenue of $130 to $150 million, up about 180% on $50 million, backed by $101 million of effective backlog, as its lead AI customer moves burn-in to the wafer. We model the midpoint and let margins pass the company's prior peak.
- The price asks for far more. At $84.64 the stock is worth $2.8 billion, 19 times fiscal 2027 guided revenue. To earn a 12.3% cost of capital from here, Aehr needs a revenue path 6.4 times our base case, about $1.8 billion by fiscal 2031, or a buyer paying 70x fiscal 2036 EBITDA.
- Both of our lenses land well below the market. The base-case DCF is worth $16.77 a share (bull $28.63, bear $8.74). Paying the peer median 5.8x EV / revenue on fiscal 2028 revenue gives $35.28. Our 12-month target is $35, the relative value, 59% below today's price.

EXHIBIT 1 **Revenue: reported, our cases, and what the price implies**



Source: Aehr 10-K filings via SEC XBRL (xbrl:RevenueFromContractWithCustomerExcludingAssessedTax); FY27 cases start from guidance of $130M to $150M (Aehr 8-K, Ex. 99.1, Jul 14 2026). The dotted path is our base case scaled until the DCF equals the share price, other inputs held.

EXHIBIT 2 **Value per share by method against the price**



Source: this model. DCF at 12.3% WACC (5.24% 10-year Treasury + peer median beta 1.57 x 4.5% equity risk premium). Ticks mark the base case and the peer median.

RATING

Sell

Target $35 · (59%)

KEY DATA

Price	**$84.64**
12-month target	**$35**
Implied return	**(59%)**
Market cap	**$2,761M**
Net cash	**$116M**
EV / FY27 guided rev	**18.9x**
52-week range	**$19 to $147**
Short interest	**17%**
Consensus target (5)	**$128**

Price (close), range, short interest and consensus of 5 analysts: Yahoo Finance, 2026-10-09. Market cap and net cash: SEC filings at 2026-05-29.

CATALYSTS

- Q1 FY27 results on November 2, 2026, the first quarter of the guided ramp.
- Orders from the AI processor maker now in pilot validation, or their absence.

EXHIBIT 3 **Scenarios, perpetuity-growth DCF**

Case	FY27 rev	FY31 rev	FY31 EBIT mgn	Value / share	vs price	TV % of EV
Bull	$150M	$420M	30%	$28.63	(66%)	61%
Base	**$140M**	**$288M**	**25%**	**$16.77**	**(80%)**	**60%**
Bear	$130M	$174M	18%	$8.74	(90%)	57%

Bull: Top of guidance, AI wafer-level burn-in wins a second processor maker, margin to 30%; Base: FY27 at the guidance midpoint, growth fading to 4%, EBIT margin to 25% (FY23 peak was 20.6%); Bear: Bottom of guidance, then an AI capex digestion year; margin stalls at 18%.

EXHIBIT 4 **Base case build, first five years**

$M, base case	FY27	FY28	FY29	FY30	FY31
Revenue	$140M	$182M	$222M	$258M	$288M
Growth	180%	30%	22%	16%	12%
EBIT	$20M	$35M	$49M	$62M	$72M
EBIT margin	14%	19%	22%	24%	25%
Less: change in NWC	($36M)	($17M)	($16M)	($14M)	($12M)
Unlevered FCF	($22M)	$9M	$20M	$32M	$42M

Tax 21%. D&A 2.5% of revenue (FY26: 3.0%); capex 3.5% (FY22 to FY26: 3.3%). Working capital 40% of new revenue, generous against Aehr's own 58% to 100% of revenue (FY23 to FY26). Mid-year convention; valuation date 2026-10-09.

EXHIBIT 5 **Value per share: WACC by terminal growth**

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
10.3%	$19.85	$20.56	$21.38	$22.31	$23.39
11.3%	$17.67	$18.20	$18.79	$19.45	$20.21
12.3%	$15.93	$16.33	**$16.77**	$17.26	$17.81
13.3%	$14.52	$14.82	$15.16	$15.53	$15.94
14.3%	$13.34	$13.58	$13.84	$14.12	$14.44
15.3%	$12.35	$12.54	$12.75	$12.97	$13.21

Outlined: our base case. Terminal value is 60% of enterprise value and implies 6.9x FY36 EBITDA.

EXHIBIT 6 **Value per share: WACC by exit EV / EBITDA**

WACC	10x	15x	20x	25x	30x
10.3%	$22.30	$28.70	$35.09	$41.49	$47.88
11.3%	$20.90	$26.77	$32.63	$38.49	$44.35
12.3%	$19.63	$25.00	$30.38	$35.76	$41.14
13.3%	$18.45	$23.39	$28.33	$33.27	$38.20
14.3%	$17.38	$21.92	$26.45	$30.99	$35.52
15.3%	$16.39	$20.57	$24.74	$28.91	$33.08

Exit multiple on FY36 EBITDA, discounted from the end of FY36. The price implies 70x.

EXHIBIT 7 **Trading comparables, last twelve months**

Ticker	Mkt cap	EV	LTM rev	EV/Rev	EV/EBITDA	EBITDA mgn	Growth
AEHR	**$2,761M**	**$2,645M**	**$50M**	**52.9x**	**NM**	**(23%)**	**(15%)**
FORM	$10,911M	$10,577M	$902M	11.7x	67.8x	17%	18%
KLIC	$4,815M	$4,298M	$950M	4.5x	30.4x	15%	44%
COHU	$3,228M	$3,026M	$523M	5.8x	339.5x	2%	33%
ONTO	$14,454M	NM	$1,120M	NM	NM	20%	8%
CAMT	$7,131M	NM	$496M	NM	NM	28%	16%
TER	$62,955M	NM	$4,464M	NM	NM	33%	58%
Peer median				**5.8x**	**67.8x**		

Source: SEC companyfacts (XBRL) through each company's latest 10-Q or 10-K, prices from Yahoo Finance on 2026-10-09, built with this repo's comps engine. NM = not meaningful (negative or missing base): ONTO, CAMT, TER carry convertible notes or other borrowings the engine does not sum, so EV is left blank rather than understated. Relative value applies the peer median EV / revenue to base-case FY28 revenue of $182M.

WHAT WOULD MAKE US WRONG

- A second top-tier AI processor maker adopting wafer-level burn-in (one finished benchmarking and wants pilot production validation) would push revenue toward our bull case and beyond.
- High-bandwidth memory is not in any of our cases. Aehr is pursuing it; a production win there is a different company.
- 17% of the float is sold short. A strong November 2 print could squeeze the stock regardless of value.

METHOD

Two lenses. Intrinsic: a ten-year DCF of unlevered free cash flow with a perpetuity-growth terminal value, cross-checked with exit multiples. Relative: what peers pay per dollar of revenue, applied a year past guidance. Then a reverse DCF: hold the price fixed and solve for the revenue path or exit multiple it requires.

Every figure is computed from a dated snapshot by the open-source engine at github.com/Dnaltroc/finance-portfolio (projects/pitch). Change an assumption in aehr.yaml and the memo rebuilds.

Student research, prepared for a portfolio. Not investment advice. Data as of 2026-10-09; snapshot pulled 2026-10-12T02:48:42+00:00. Fiscal years end in late May. $ in millions except per share.